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Case Number: 25STCV01318 Hearing Date: September 8, 2026 Dept: 1

Final

Approval of Class Action Settlement

Department

SSC-1

Luzod v. SPEC

Services, Inc.

Case No.: 25STCV01318

Hearing: September 8, 2026

TENTATIVE

RULING

The Court's tentative ruling is to CONTINUE

Final for the parties to address the following:

1.

The administrator reports that one

Class Member submitted an objection to the Settlement. No Objection was provided for the Court to review;

therefore, it is unclear what the Objector objects to. Counsel are to provide a

copy of the Objection for the Court to review.

The Court orders the parties to submit supplemental

briefing and supporting declarations to address the Court's concerns. All supplemental papers are due to be filed

by _____________________________________ .

The Court sets a non-appearance case review for ____ to review the supplemental papers.

BACKGROUND

This is a wage and hour class action. On January 17, 2025, Plaintiff Santos Luzod ("Plaintiff" or "Luzod"), individually and on behalf of all others similarly situated, filed this action against Defendant SPEC Services, Inc. ("Defendant" or "SPEC") and Does 1 through 100 for violations of the California Labor Code and the California Business and Professions Code. On April 1, 2025, Plaintiff filed a First Amended Class Action Complaint ("FAC") asserting the following causes of action: (1) failure to pay overtime wages, (2) failure to pay minimum wages, (3) failure to provide meal periods, (4) failure to provide rest periods, (5) waiting time penalties, (6) wage statement violations, (7) failure to timely pay wages, (8) failure to indemnify, (9) violation of Labor Code §227.3, (10) PAGA, and (11) unfair competition.

Class Counsel represents that prior to mediation, Plaintiff obtained, through informal discovery: (a) records for 25% of Class Members through mediation; (b) a class list of hire dates, termination dates, and rates of pay for all Class Members; (c) wage and hour policy documents; and (d) all documents pertaining to Plaintiff available to Defendant.

On November 13, 2025, the Parties participated in an all-day mediation presided over by Todd Smith, Esq., which resulted in settlement. The terms of settlement were finalized in the long-form Class and PAGA Settlement Agreement, a copy of which was filed with the Court on March 16, 2026 attached to the Declaration of Bardia A. Akhavan ("Akhavan Decl.") ISO Preliminary Approval as Exhibit 1.

On April 17, 2026, counsel filed a fully-executed Addendum #1 to the Settlement Agreement (Addendum #1) attached to the Supplemental Declaration of Bardia A. Akhavan ("Akhavan Supp. Decl.") ISO Preliminary Approval as Exhibit 2.

Preliminary Approval was granted on April 22,

2026. Notice was
given to the Class Members as ordered. (See Declaration of Tarus Dancy (“Dancy Decl.”)

Now before the Court is the motion for
final approval of the settlement agreement.

CLASS
DEFINITION AND ESSENTIAL MONETARY TERMS OF SETTLEMENT AGREEMENT

.
“Settlement Class” means all
individuals employed by Defendant as non-exempt, hourly-paid employees in the
State of California at any time between January 17, 2021 through January 30,
2026. (¶1.4)

o
"Class Period" means the
period from January 17, 2021 through January 30, 2026. (¶1.12)

o There
are 162 Class Members. (Dancy Decl.,
¶5.)

.
“Aggrieved Employees” means all
persons employed by Defendant in California and classified as a non-exempt,
hourly-paid employee who worked for Defendant during the PAGA Period (i.e.
January 16, 2024 through January 30, 2026).
(¶1.5)

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“PAGA Period” means the period from
January 16, 2024 through January 30, 2026.
(¶1.31)

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There are 125
Aggrieved Employees who worked a total of 5,232 Pay Periods during the PAGA
Period. (Dancy Decl., ¶17.)

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Based on its
records, Defendant estimates that, as of the date of mediation on November 13, 2025, (1) there were 160 Class Members and 23,104 Total Workweeks during the Class Period and (2) there were 124 Aggrieved Employees who worked 4,469 Pay Periods during the PAGA Period. (¶8)
In the event the number of Workweeks during the Class Period increases by more than 10%, or totals over 25,414 Workweeks, then the Gross Settlement Amount shall be increased proportionally by the Workweeks in excess of 25,414 Workweeks multiplied by the Workweek Value. The Workweek Value shall be calculated by dividing the originally agreed-upon Gross Settlement Amount of $1,155,200.00 by 23,104, which amounts to a Workweek Value of $50.00. Thus, for example, should there be 26,000 Workweeks in the Class Period, then the Gross Settlement Amount shall be increased by $29,300.00 (26,000 Workweeks-25,414 Workweeks) x $50.00 per Workweek. (¶8.1)

o

There are 161 Participating Class
Members who worked 24,325 workweeks during the Class Period. (Dancy Decl., ¶¶14-15)
As a result, the escalator clause is not triggered.

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The Gross Settlement Amount ("GSA") is
$1,155,200, non-reversionary. (¶¶1.22,
3.1)

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The Net Settlement Amount ("Net") ($700,133.34)
is the GSA minus the following:

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Up to $385,066.66 (33.33%) for
attorney fees (¶3.2.2);

o

Up to $25,000 for attorney
costs (Ibid.);

o

Up to $8,000 for a service

award to the proposed class representative (¶3.2.1);

o
Up to $7,000 for settlement
administration costs (¶3.2.3); and

o
Payment of $30,000 PAGA penalty
(65% or $19,500 to the LWDA) (¶3.2.5).

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Defendant will separately pay any and
all employer payroll taxes owed on the Wage Portions of the Individual Class
Payments. (¶3.1)

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Funding of Settlement:
Defendant shall fully fund the Gross Settlement Amount and also fund the
amounts necessary to fully pay Defendant's share of payroll taxes by transmitting the
funds to the Administrator no later than 7 business days after the Effective
Date. (¶4.3)

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There is no claim form
requirement. (¶3.1)

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Uncashed
Settlement Checks: The face of each check
shall prominently state the date (not less than 180 days after the date of
mailing) when the check will be voided.
The Administrator will cancel all checks not cashed by the void date. (¶4.4.1) For any Class Member whose
Individual Class Payment check or Individual PAGA Payment check is uncashed and
cancelled after the void date, the Administrator shall transmit the funds
represented by such checks to the California Controller's
Office, Unclaimed Property Fund.
(¶4.4.3)

The
proposed settlement was submitted to the LWDA on March 12, 2026. (Akhavan

Decl. ISO Preliminary Approval, ¶7, Ex. 3.)

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Scope of the Release: Effective upon entry of Judgment, the Order granting Final Approval of this Settlement, and on the date when Defendant fully funds the entire Gross Settlement Amount and funds all employer payroll taxes owed on the Wage Portion of the Individual Class Payments, Plaintiff, Class Members, and Class Counsel will release claims against all Released Parties as follows: (¶5)

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Release by Participating Class Members: For the duration of the Class Period, all Participating Class Members, on behalf of themselves and their respective former and present representatives, agents, attorneys, heirs, administrators, successors, and assigns, release Released Parties from all claims that were alleged, or reasonably could have been alleged, based on the facts and theories stated in the Operative Complaint, including, but not limited to: (1) failure to pay overtime wages; (2) failure to pay minimum wages; (3) failure to provide meal periods, or compensation in lieu thereof; (4) failure to provide compliant rest periods, or compensation in lieu thereof (5) waiting time penalties; (6) non-compliant wage statements; (7) failure to timely pay wages; (8) failure to indemnify; (9) violation of Labor Code §227.3; (10) PAGA; and (11) all claims asserted through California Business & Professions Code section 17200, et seq. arising out of the Labor Code violations referenced in the Operative Complaint, including, but not limited to all theories pleaded or based on the same operative facts such as wages owed due to rounding, failure to pay sick leave, failure to pay vacation, and any derivative claims based on such theories. (¶5.2)

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Except as set forth in Section 5.2 of this Agreement, Participating Class Members do not release any other claims, including claims for vested benefits, wrongful termination, violation of the Fair Employment and Housing Act, unemployment insurance, disability, social security, worker compensation, or claims based on facts occurring outside the Class Period. (¶5.3)

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Release by Aggrieved Employees: For the duration of the PAGA Period, all Aggrieved Employees are deemed to release, on behalf of themselves and their respective former and present representatives, agents, attorneys, heirs, administrators, successors, and assigns, the Released Parties from all claims for PAGA penalties that were alleged, or reasonably could have been alleged, based on the facts stated in the Operative Complaint and the PAGA Notice. (¶5.4)

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Because future PAGA claims are subject to claim preclusion upon entry of the Judgment, Non-Participating Class Members who are Aggrieved Employees are deemed to release the claims identified in Paragraph 5.4 of this Agreement and are eligible for an Individual PAGA Payment. (¶7.5.4)

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"Released Parties" means: Defendant, and each of their former, present and future owners, parents, and subsidiaries, and all of their current, former, and future officers, directors, members, managers, employees, consultants, partners, shareholders, joint venturers, agents, predecessors, successors, assigns, accountants, insurers, reinsurers, and/or legal representatives. (¶1.41)

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Named Plaintiff will also provide a general release and CC § 1542 waiver. (¶5.1)

ANALYSIS OF SETTLEMENT AGREEMENT

A. Does a presumption of fairness exist?

The Court preliminarily found in its Order on April 22, 2026 that the presumption of fairness should be applied. No facts have come to the Court's attention that would alter that preliminary conclusion. Accordingly, the settlement is entitled to a presumption of fairness as set forth in the preliminary approval order.

B. Is the settlement
fair, adequate, and reasonable?

The settlement was preliminarily found to be
fair, adequate and reasonable. Notice
has now been given to the Class and the LWDA.

Reaction of the class
members to the proposed settlement.

Number of class
members: 162 (Dancy Decl., ¶5.)

Number of notice
packets mailed: 162 (Id. at ¶7.)

Number of
undeliverable notices: 0 (Id. at ¶9.)

Number of
opt-outs: 1 (Id. at ¶11.)

Number of
objections: 1[1]
(Id. at ¶12.)

Number of
participating class members: 161 (Id. at
¶14.)

Average
individual payment: $4,356.42 (Id. at
¶16.)

Highest
estimated payment: $7,574.83 (Ibid.)

Lowest
estimated payment: $41.23 (Ibid.)

Number of
Aggrieved Employees: 125 (Id. at ¶17.)

Average PAGA
payment: $84.00 (Id. at ¶18.)

Highest PAGA payment: $108.37 (Ibid.)

Lowest PAGA payment: $4.01 (Ibid.)

The Court finds that the notice was given as directed and conforms to due process requirements. Given the reactions of the Class Members and LWDA to the proposed settlement and for the reasons set for in the Preliminary Approval order, the settlement is found to be fair, adequate, and reasonable.

C.
Attorney
Fees and Costs

Class Counsel request $385,066.66 (33%) in fees and litigation costs and expenses in the amount of $19,984.35 to Class Counsel. (Akhavan Decl. ISO Final, ¶41.) The Settlement provides for attorney's fees up to $385,066.66 and costs of $25,000. (Settlement Agreement, ¶3.2.2).

"Courts recognize two methods for calculating attorney fees in civil class actions: the lodestar/multiplier method and the percentage of recovery method."
(Wershba at 254.)
Here, class counsel requests attorney fees using the percentage method. (Motion ISO Final, pgs. 17-28.)

The fee request represents 33 1/3% of the gross settlement amount which is the average generally awarded in class actions. See In re Consumer Privacy Cases (2009) 175 Cal.App.4th 545, 558, fn. 13 ("Empirical studies show that, regardless whether the percentage method or the lodestar method is used, fee awards in class actions average around one-third of the recovery.").

Counsel represents that 181 hours have

been expended on this litigation at a rate of $850 per hour, for a total loadstar amount of $149,325, which required a lodestar multiplier of 2.57 to yield the requested fee amount. (Motion ISO Final, 24:11-19, 26:22-24; Akhavan Decl. ISO Final, ¶42.)

As for costs, class counsel has incurred costs of $19,984.35. (Akhavan Decl. ISO Final, ¶41 and Exhibit 2 thereto.) Class Counsel is requesting $19,984.35 in costs, which is less than the settlement cap of $25,000. (Ibid.) The class was provided notice of the costs in the amount of $25,000, and one class member submitted an objection which has not been provided to the Court for review, so it is unclear whether the Objector took issue with the requested fee/cost amount. (Dancy Decl., ¶12 and Exhibit A thereto.)

The costs in this case include, but are not limited to filing costs ($1,506.11), mediation ($10,000), and Berger Consulting Group Costs ($8,025). (Akhavan Decl. ISO Final, ¶41 and Exhibit 2 thereto.) The costs seem reasonable and necessary to litigation.

Based on the above, the Court awards one-third of the GSA i.e., $385,066.66 for fees and $19,984.35 for litigation costs.

D. Incentive Awards to Class Representative

The Settlement Agreement provides for up to $8,000 for a Service Payment to the Named Plaintiff. (Settlement Agreement, ¶3.2.1.)

Plaintiff Luzod represents that his contributions to this litigation include, but are not limited to spending at least 23 hours on the following: obtaining counsel, gathering documents, reviewing documents, identifying witnesses, numerous conversations with counsel, remaining on-call during mediation, and reviewing the settlement agreement. (Luzod Decl., ¶8.)

Based

on the above, the Court grants enhancement awards in the amount of $8,000.

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E.
Claims
Administration Costs

The claims administrator requests $5,750 for the costs of administering the settlement. (Dancy Decl., ¶19.) This less than $7,000 maximum amount estimated in the Settlement Agreement and disclosed in the notice to class members, to which there was one objection which has not been provided to the Court for review, so it is unclear whether the Objector took issue with the requested cost amount. (Id. at ¶12 and Exhibit A thereto.)

Based on all the work performed by the Claims Administrator, the Court awards costs in the requested amount of $5,750.

[1] No Objection was provided for the Court to review; therefore, it is unclear what the Objector objects to. Counsel are to provide a copy of the Objection for the Court to review and rule on.